GOVERNMENT OF INDIA
MINISTRY OF FINANCE
INCOME TAX DEPARTMENT
OFFICE OF THE COMMISSIONER OF INCOME TAX (APPEALS)
NATIONAL FACELESS APPEAL CENTRE (NFAC), DELHI

Appeal No.	:	NFAC/2022-23/10999911
Name of the appellant	:	Namoona Agro Exports Private Limited
Address	:	Plot 9, Sample Industrial Estate, Nashik - 422 000 (fictitious)
PAN	:	AAACN1234P
Assessment Year	:	2021-22
Section under which the order appealed against was passed	:	143(3) r.w.s. 144B
Order appealed against passed by	:	Assessment Unit, Income Tax Department, dated 28/09/2022
Date of filing of appeal	:	25/10/2022
Appearance for the appellant	:	Written submissions (e-proceedings)
Date of order	:	16/10/2026
DIN & Order No.	:	ITBA/NFAC/S/250/2026-27/1099999911(1)

ORDER UNDER SECTION 250 OF THE INCOME-TAX ACT, 1961

1. This appeal has been filed by the appellant against the order passed u/s 143(3) r.w.s. 144B of the Income-tax Act, 1961 ('the Act') dated 28.09.2022 by the Assessment Unit, Income Tax Department (hereinafter 'the AO') for A.Y. 2021-22, wherein the total income was assessed at Rs.56,90,000/- as against the returned income of Rs.32,40,000/-, raising a demand of Rs.9,87,650/-.

Grounds of appeal

1. On the facts and in the circumstances of the case, the order passed by the AO is bad in law and on facts.
2. The AO erred in making an addition of Rs.18,50,000/- u/s 69A on account of cash deposits in the bank account of the appellant.
3. The AO erred in rejecting the explanation that the cash deposits were made out of cash sales recorded in the books of account.
4. The AO erred in applying section 115BBE to the addition made u/s 69A.
5. The AO erred in making an ad hoc disallowance of Rs.6,00,000/- out of expenses u/s 37(1) without pointing out any specific defect.
6. Without prejudice, the disallowance of Rs.6,00,000/- is excessive.
7. The AO erred in charging interest u/s 234B of the Act.

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8. The appellant craves leave to add, alter or amend any of the grounds of appeal.

Statement of facts

2. The appellant is a company engaged in the export of agricultural produce. During the assessment proceedings, the AO noticed cash deposits of Rs.18,50,000/- in the bank account of the appellant and treated them as unexplained money. The AO also disallowed 20% of the miscellaneous expenses.

Submissions of the appellant

3. The appellant filed written submissions dated 14.07.2026 through the e-proceeding facility. The submissions on the grounds are summarised below.

3.1 Ground Nos. 2 to 4: The appellant submitted that the cash deposits were out of cash sales recorded in the books of account, that the sales were accepted by the AO and that the same receipts cannot be taxed again.

3.2 Grounds 5 & 6: The appellant contended that the disallowance was made on an estimate, without pointing out any expense that was not incurred for the business.

Decision

4. I have carefully considered the grounds of appeal, the assessment order and the written submissions of the appellant. The grounds are decided as under.

5. Ground No. 1 is general in nature and does not require separate adjudication.

6. **Ground Nos. 2 to 4 - Addition of Rs.18,50,000/- u/s 69A**

6.1 The AO observed that the appellant could not explain the source of the cash deposits with evidence and that the cash sales were not supported by the details of the buyers.

6.2 I find that the cash book does not show a sufficient cash balance on the dates of the deposits, and the appellant has not furnished the details of the parties to whom the cash sales were made. The explanation of the appellant is not supported by evidence. The addition of Rs.18,50,000/- made u/s 69A is confirmed. Ground Nos. 2 to 4 are dismissed.

7. **Grounds 5 & 6 - Disallowance of Rs.6,00,000/- out of expenses u/s 37(1)**

7.1 The AO disallowed 20% of the miscellaneous expenses on the ground that some of the vouchers were self-made.

7.2 I find that the AO has not pointed out any specific expense that was not incurred for the purposes of the business. At the same time, a part of the expenses is supported only by self-made vouchers. Considering the facts, the disallowance is restricted to Rs.1,50,000/-. Grounds 5 & 6 are partly allowed.

8. Ground No. 7 relates to the charging of interest u/s 234B, which is consequential in nature. The AO is directed to recompute the interest while giving effect to this order.

9. In the result, the appeal is partly allowed.

10. Order pronounced and uploaded on the ITBA portal on 16.10.2026.

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Sd/-
Commissioner of Income Tax (Appeals)
National Faceless Appeal Centre (NFAC), Delhi

Copy to:

1. The appellant
2. The Pr. CIT, Nashik (fictitious)
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